Silence as Misrepresentation

English contract law | Study guide | Non-disclosure, misleading conduct and correction

A landlord knows of a problem and says nothing. Another landlord gives a technically accurate answer that hides the same problem. The legal analysis begins with what each landlord communicated and whether a duty to disclose or correct arose.

1. The ordinary rule | Mere silence

In ordinary arm's-length negotiations, each party generally decides what questions to ask. One party's knowledge of an important fact does not itself create a general duty to volunteer it. Identify any statement, conduct or specific disclosure duty before treating the omission as legally significant.

2. Keates v Earl of Cadogan | A condition left undisclosed

A prospective tenant was not told that a house was allegedly unsafe and unfit to live in. The court held that the landlord was under no implied duty on those facts to disclose its condition. The case illustrates the historical common-law rule on mere silence. Modern statutory housing obligations are a separate inquiry.

3. What impression did the party create?

A half-truth can mislead through what it leaves out. Conduct can suggest a fact without words, as when a seller disguises a defect to make it appear absent. A statement accurate when made can also become misleading if it continues to operate after a material change and before contracting.

4. Test the effect on this recipient

Identify the precise false impression and explain how it influenced the decision to contract. Its importance can support an inference of inducement. The recipient's approval emails, questions and records of any correction help establish what they understood and acted on. Consider rescission and damages under their separate requirements.

> Legal English | **Non-disclosure** means withholding or failing to provide information. A **half-truth** is a statement that misleads by presenting only part of the relevant picture.

When the Impression Becomes Misleading

Dimmock v Hallett | A half-truth at the time of speaking

The sale particulars described farms as let without mentioning that tenants had given notice to quit. The description conveyed a misleading impression of continuing tenancies. Ask what the words suggested in context, including the question they purported to answer.

Gordon v Selico | Active concealment

Dry rot in a flat was deliberately concealed before sale. The Court of Appeal treated the cover-up as capable of conveying a false impression by conduct. Identify what the buyer or surveyor actually saw and how the concealment affected their assessment.

With v O'Flanagan | A statement that continued to operate

The seller of a medical practice accurately stated that takings were running at about £2,000 a year. After illness, takings fell sharply before the sale. The buyer was not told. The continuing representation had become misleading and ought to have been corrected before the contract was made.

Build the chronology

Record the original statement, the material change, when the maker learned of it, any correction and the date of the contract. Ask whether the statement still operated at formation. A change only after formation does not retrospectively falsify a statement accurate when made.

> Exam method | Locate the misleading impression at formation. Was it created by incomplete words, conveyed by conduct or left in place after circumstances changed?

Insurance Disclosure Today

1. Consumer insurance | Take reasonable care

Under the Consumer Insurance (Disclosure and Representations) Act 2012, a consumer must take reasonable care to avoid a misrepresentation to the insurer. This replaces the former general duty to volunteer material facts. The clarity and specificity of the insurer's questions matter. Failure to confirm or amend particulars when asked can also be capable of amounting to a misrepresentation.

2. Non-consumer insurance | Fair presentation of the risk

Under the Insurance Act 2015, the insured generally must disclose every material circumstance it knows or ought to know, or give enough information to put a prudent insurer on notice that it needs to enquire further. The presentation must be reasonably clear and accessible. Material statements of fact must be substantially correct, and material statements of expectation or belief must be made in good faith.

3. Consequences | Check what the insurer would have done

Under the statutory schemes, the insurer must establish a qualifying misrepresentation or breach, including that it would have declined the risk or contracted on different terms. The remedy depends on the applicable statute and the nature of the default. For example, where a careless consumer misrepresentation led to a lower premium, the insurer may be entitled to reduce a claim proportionately. If the premium paid was £500 and the insurer would have charged £1,000, the applicable proportion would be one half of what it would otherwise pay.

4. Utmost good faith | The historical label

Section 14 of the Insurance Act 2015 abolished the rule allowing avoidance merely because the other party failed to observe utmost good faith. Apply the relevant statutory duty and remedies to the facts.

> Legal English | **Fair presentation of the risk** is the statutory standard for non-consumer insurance. **To avoid the policy** means to set it aside.

Worked Problem and Sources

The warehouse loading bay

A landlord emails a logistics company that a warehouse's loading bay can be used around the clock. That is true at the time. Before the lease is signed, the landlord receives a binding planning restriction prohibiting loading after 10 p.m. The landlord does not update the email. The company approves the lease on the stated basis that night loading is available. Is there a misrepresentation?

Model analysis

Continuing representation. The change concerns exactly what the landlord addressed. The email remained operative and became misleading before signature. The approval record supports actual inducement. Consider rescission and, where its conditions are met, damages.

Half-truth. Suppose the restriction was already in force and the landlord answered a question about night loading by saying the bay was available every day. Though literally true, the answer could imply night access. Test the impression in context and its effect on the decision.

Key documents. Compare the original email, the dated restriction and the company's approval. Together they show what changed, what the landlord knew and why the company signed.

> Mere silence | Suppose there was no statement or misleading conduct about access, no question and no applicable disclosure duty. On those facts, silence alone would ordinarily give no misrepresentation claim.

Selected cases and legislation

Keates v Earl of Cadogan (1851) 10 CB 591 | Mere silence
Dimmock v Hallett (1866) LR 2 Ch App 21 | Half-truth
Gordon v Selico (1986) 18 HLR 219 | Discussed in Loreley v Credit Suisse
With v O'Flanagan [1936] Ch 575 | Discussed in Foodco
Consumer Insurance (Disclosure and Representations) Act 2012 ss 2–5, Sch 1 | Consumer insurance
Insurance Act 2015 Part 2 | Fair presentation
Insurance Act 2015 Sch 1 | Insurer remedies
Insurance Act 2015 s 14 | Utmost good faith
Misrepresentation Act 1967 ss 1–2 | Rescission and damages